Chapter 1 | Practice Questions

Business decisions and financial accounting

These questions are adapted from the Connect homework.
If something looks off, check it against Connect first.
If it still looks wrong, report it to me (yu10j@cmich.edu).

Set 1 | Account Type & Statement INDEPENDENT

Q1. Classify each account as an Asset, a Liability, Stockholders' Equity, a Revenue, or an Expense.

	Account	Answer
1.	Accounts Payable	_____
2.	Accounts Receivable	_____
3.	Cash	_____
4.	Common Stock	_____
5.	Equipment	_____
6.	Income Tax Expense	_____
7.	Notes Payable	_____
8.	Office Expense	_____
9.	Retained Earnings	_____
10.	Sales Revenue	_____
11.	Supplies	_____

Choices: **A.** Asset **B.** Liability **C.** Stockholders' Equity **D.** Revenue **E.** Expense

Q2. Select the **financial statement** on which each account is reported.

	Account	Answer
1.	Accounts Payable	_____
2.	Accounts Receivable	_____
3.	~~Cash~~	_____
4.	Common Stock	_____
5.	Equipment	_____
6.	Income Tax Expense	_____
7.	Notes Payable	_____
8.	Office Expense	_____
9.	Retained Earnings	_____
10.	Sales Revenue	_____
11.	Supplies	_____

Choices:

A. Income Statement
B. Balance Sheet
C. Statement of Cash Flows
D. None of the above

Answers, Set 1:
Q1. 1 B 2 A 3 A 4 C 5 A 6 E 7 B 8 E 9 C 10 D 11 A
Q2. 1 B 2 B 3 B 4 B 5 B 6 A 7 B 8 A 9 B 10 A 11 B

Set 2 | Stone Culture INDEPENDENT

Stone Culture Corporation was organized on January 1, 2023. For its first two years of operations, it reported the following:

Item	2023	2024
Net Income	$40,000	$45,000
Dividends	15,000	20,000
Total assets at the end of the year	125,000	242,000

Q1. Stone Culture Corporation prepares its statement of retained earnings for the years ended December 31, 2023 and 2024. Determine each amount below, and how dividends are shown on the statement.

1. Retained Earnings, December 31, 2023

A. $25,000
B. $40,000
C. $55,000
D. $125,000
E. $242,000

2. Retained Earnings, December 31, 2024

A. $25,000
B. $45,000
C. $50,000
D. $70,000
E. $90,000

3. On this statement, dividends are

A. Added, because they increase the owners' stake
B. Subtracted, because they are an expense of doing business
C. Omitted, because they belong on the income statement
D. Subtracted, because they distribute earnings to stockholders
E. Omitted, because they reduce Cash, not retained earnings

Answers, Set 2:
Q1. 1 A 2 C 3 D

Set 3 | Reader Direct INDEPENDENT

Ken Banks and Kim Lee organized **Reader Direct** as a corporation; each contributed $49,000 cash to start the business and received 4,000 shares of stock. The store completed its first year of operations on December 31. On that date the following financial items for the year were determined:

Item	Amount
Cash on hand and in the bank	$47,500
Amounts due from customers from sales of books	26,900
Equipment	48,000
Amounts owed to publishers for books purchased	8,000
One-year notes payable to a local bank	2,850

No dividends were declared or paid to the stockholders during the year. **In its second year, Reader Direct earns net income of $3,000 and pays dividends of $2,000.**

Q1. Reader Direct completed its first year of operations on December 31. Determine the amount of each item below, and where most of its financing came from.

	A	B	C	D	E
1. Total Assets at December 31	$74,400	$95,500	$111,550	$122,400	$133,250
2. Total Liabilities at December 31	$2,850	$8,000	$10,850	$13,550	$122,400
3. Common Stock	$4,000	$8,000	$47,500	$49,000	$98,000
4. Retained Earnings, December 31	$0	$10,850	$13,550	$98,000	$111,550
5. Net income for the first year	$0	$13,550	$98,000	$111,550	$122,400
6. Most of the financing of the assets came from	Creditors	Stockholders			
7. Retained Earnings at the end of year 2	$3,000	$11,550	$13,550	$14,550	$18,550

Answers, Set 3:
Q1. 1 D 2 C 3 E 4 C 5 B 6 B 7 D

Set 4 | Miami Music LINKED The second question reads the statements built in the first.

Five individuals organized **Miami Music Corporation** on January 1. At the end of January 31, the following monthly financial data are available:

Item	Amount
Total Revenues	$131,000
Operating Expenses	90,500
Cash	30,800
Accounts Receivable	25,300
Supplies	40,700
Accounts Payable	25,700
Common Stock	30,600

No dividends were declared or paid during January.

Q1. Determine the amount of each item below for Miami Music Corporation for the month of January.

	A	B	C	D	E
1. Net Income	$40,500	$90,500	$96,800	$131,000	$221,500
2. Total Assets	$56,100	$66,000	$71,100	$96,800	$122,500
3. Retained Earnings	$0	$40,500	$71,100	$96,800	$131,000
4. Total Stockholders' Equity	$25,700	$30,600	$40,500	$56,100	$71,100

Q2. Answer each question about Miami Music Corporation below.

1. Did Miami Music Corporation generate a profit? Which financial statement indicates this?

A. Yes — Income Statement
B. Yes — Balance Sheet
C. Yes — Income Statement and Balance Sheet
D. Yes — Statement of Cash Flows
E. No — None of these statements

2. Does Miami Music Corporation have sufficient resources to pay its liabilities? Which financial statement indicates this?

A. Yes — Income Statement
B. No — Balance Sheet
C. Yes — Statement of Cash Flows
D. No — Statement of Retained Earnings
E. Yes — Balance Sheet

Answers, Set 4:
Q1. 1 A 2 D 3 B 4 E
Q2. 1 A 2 E

Set 5 | Missing Amounts INDEPENDENT One company per question.

Solve for the amounts marked [?].

Item	Company A	Company B	Company C
Common Stock	$43	$28	$26
Dividends	0	14	6
Net Income	?	69	?
Retained Earnings, Beginning of Year	104	15	?
Retained Earnings, End of Year	?	?	39
Total Assets	?	?	128
Total Expenses	106	?	50
Total Liabilities	56	269	?
Total Revenues	137	264	71

Q1. Company A — solve for the three missing amounts.

	A	B	C	D	E
1. Net Income	$31	$81	$106	$137	$243
2. Retained Earnings, End of Year	$73	$104	$135	$137	$241
3. Total Assets	$99	$178	$191	$203	$234

Q2. Company B — solve for the three missing amounts.

	A	B	C	D	E
1. Total Expenses	$69	$181	$195	$264	$333
2. Retained Earnings, End of Year	$15	$55	$69	$70	$84
3. Total Assets	$98	$297	$312	$339	$367

Q3. Company C — solve for the three missing amounts.

	A	B	C	D	E
1. Net Income	$15	$21	$50	$71	$121
2. Retained Earnings, Beginning of Year	$12	$18	$24	$39	$54
3. Total Liabilities	$63	$65	$89	$102	$128

Answers, Set 5:
Q1. 1 A 2 C 3 E
Q2. 1 C 2 D 3 E
Q3. 1 B 2 C 3 A